

Business Data Management Project Presentation

**Solving Business Problems in Veterinary Pharmaceutical Business
through Data**

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Organization Background

Name : Sri Maruthi Pharma, Kolar, Karnataka
(A wholesale veterinary medicine business)

- N. S. Suresh
- N. S. Babu
- N. S. Keshav Murthy
- N. S. Venu



THE BUSINESS CHALLENGE

Three Critical Areas Impacting Cash Flow, Efficiency and Profitability



01

DEBTORS

PROBLEM

Delayed customer payments



Impact: High outstanding amounts and cash flow constraints



02

INVENTORY

PROBLEM

Large inventory with expiry risk



Impact: Capital blockage, expiry losses and storage costs



03

ACCOUNTING

PROBLEM

Errors in ERP and billing records



Impact: Wrong decisions, compliance risk and financial losses



OVERALL IMPACT



Locked Cash
Reduced liquidity



Lower Profitability
Higher costs & losses



Compliance Risk
Legal & tax implications



Operational Inefficiency
Manual efforts & delays



Addressing these challenges is the key to improving cash flow, reducing risk and driving sustainable growth.

DATA COLLECTED

Comprehensive Data Sources Powering Meaningful Insights



SALES



Invoice level sales data,
sales amount, cost & profit,
customer-wise transactions



Revenue &
Profitability Analysis



STOCK



Opening stock,
receipts, issues,
closing stock



Inventory Movement
& Stock Health



PURCHASE



Purchase bills,
supplier details,
purchase amount & tax



Procurement &
Supplier Analysis



DEBTORS



Outstanding amount,
customer name & place,
GST number, mobile number



Credit Risk &
Recovery Planning



PRICE LIST

PRICE LIST		
Product	MRP	Sale Price

Product name,
purchase price, selling price,
MRP



Pricing Validation &
Margin Analysis



10 MONTHS

Data Period Covered
Apr 2025 – Jan 2026



THOUSANDS

of Products
Wide Product Portfolio



REAL BUSINESS DATA

Collected from Actual Operations
Accurate • Verified • Reliable



Reliable data. Meaningful insights. Smarter business decisions.

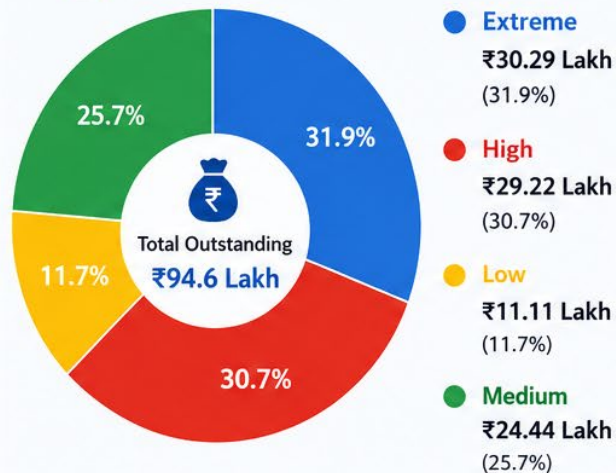


Debtor Risk Profile & Outstanding Amount Analysis

Understanding Risk Concentration to Improve Cash Flow



BY OUTSTANDING AMOUNT



Top 2 risk segments (Extreme + High) account for 62.6% of total outstanding amount.

RISK SEGMENTS GUIDE



Extreme

Very High Risk
Outstanding > ₹2,00,000



High

High Risk
Outstanding > ₹75,000 to ₹2,00,000



Low

Low Risk
Outstanding < ₹25,000

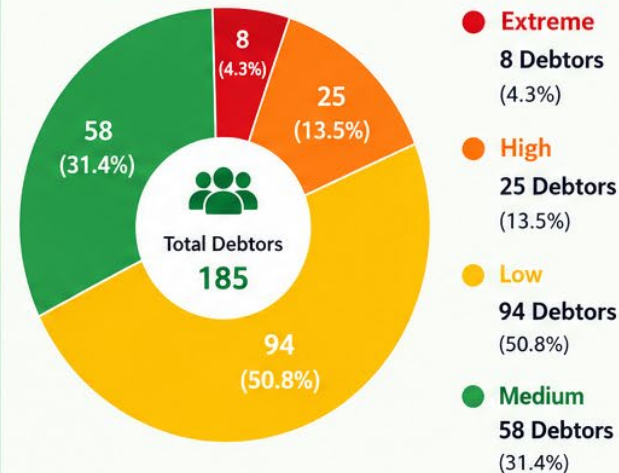


Medium

Moderate Risk
Outstanding ₹25,000 to ₹75,000



BY NUMBER OF DEBTORS



Low risk debtors (94) form 50.8% of total but contribute only 11.7% of outstanding.

KEY HIGHLIGHTS



8 Extreme-Risk Debtors

Only 4.3% of all debtors but account for **31.9%** of total outstanding amount



33 High + Extreme Debtors

Just 17.8% of all debtors but account for **62.6%** of total outstanding amount



94 Low-Risk Debtors

Majority (50.8%) of debtors but account for only **11.7%** of total outstanding amount



Business Impact

Focusing on 33 high-risk debtors can unlock **₹59.51 Lakh** in receivables (62.6% of total)

DEBTORS RISK

Identify. Connect. Communicate. Recover.

Among **185** Debtors



IDENTIFIED BUSINESSES

45

GST-REGISTERED
BUSINESSES



45 out of **185** debtors
are GST-registered businesses.



CONTACT AVAILABILITY

125

CONTACT NUMBERS
AVAILABLE



125 contact numbers available
for direct communication
and follow-up.



RECOMMENDATIONS



Use GST Portal

Send official payment
reminders through the
GST Portal.



Automated Reminders

Send automated reminders
via Call, SMS and
WhatsApp.



**Provide Payment Links &
Installment Options**

Share secure payment links
and offer convenient
installment options.



BETTER RECOVERY

Timely follow-ups reduce
outstanding amounts.



STRONGER RELATIONSHIPS

Professional communication
builds trust.



SAVES TIME & EFFORT

Automation ensures consistent
and faster follow-up.



LOWER RISK

Improved cash flow and
reduced credit risk.

Inventory Management Issues

HEALTH OF STOCKS

Understanding Inventory Balance & Stock Holding Period

STOCK HEALTH BY CONDITION

Stock health determined by comparing closing stock with average monthly sales.



OVERSTOCK

Closing Stock
> 3 × Avg Monthly Sales



UNDERSTOCK

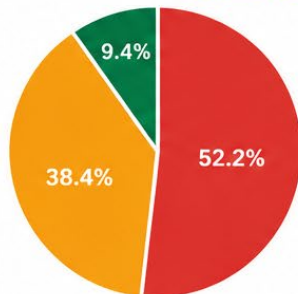
Closing Stock
< Avg Monthly Sales



HEALTHY

Otherwise

DISTRIBUTION OF PRODUCTS



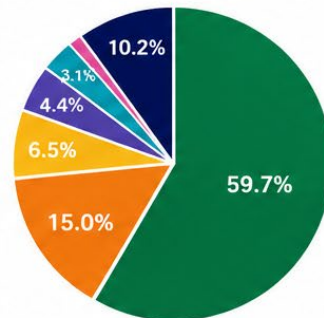
- Overstock**
1,565 Products (52.2%)
- Understock**
1,152 Products (38.4%)
- Healthy**
280 Products (9.4%)



A majority of products are either overstocked or understocked.
Focus on right-sizing inventory for better efficiency.

MONTHS REQUIRED TO SELL EXISTING STOCK

Estimated time required to sell current stock based on average monthly sales.



Months to Sell

No. of Products (%)

- Less than 6 months**
1,789 (59.7%)
- 6 to 12 months**
448 (15.0%)
- 12 to 18 months**
193 (6.5%)
- 18 to 24 months**
132 (4.4%)
- 24 to 30 months**
93 (3.1%)
- 30 to 36 months**
37 (1.2%)
- More than 36 months**
306 (10.2%)



1,789

Products
Sell within
6 months



306

Products
Need more than
36 months to sell



2,997

Total
Products
Analyzed



Most products will sell within 6 months, but 306 products may remain in inventory for more than 3 years, indicating long-term capital blockage.



2,997
Total Products
Analyzed



1,565 (52.2%)
Overstock
Excess inventory



1,152 (38.4%)
Understock
Risk of stockouts



280 (9.4%)
Healthy
Well-balanced inventory

INVENTORY CHALLENGES & ACTION PLAN

Key Issues Identified • Risks Involved • Smart Recommendations

DEADSTOCK PROBLEM



891
PRODUCTS

WORTH ~
₹49.8 LAKHS
BLOCKED IN INVENTORY



RISK:
EXPIRY →
COMPLETE LOSS

RECOMMENDATIONS



Return to supplier
(if possible)



Bundle offers /
combo sales



Discount clearance
before expiry

OVERSTOCK ISSUE



2,457
PRODUCTS

WITH >3 MONTHS
HOLDING



HIGH INVENTORY COST
& CAPITAL BLOCKAGE

RECOMMENDATIONS



Limit bulk purchasing



Use past data for
safety stock planning



Delay reordering
until required

UNDERSTOCK RISK



MISSED SALES
DUE TO STOCKOUTS



RECOMMENDATIONS



ERP-based
low-stock alerts



Timely reordering
system



Maintain optimum
stock levels

INVENTORY OPTIMIZATION



Arrange products
based on movement
(Fast / Slow / Dead)



Improve accessibility
of fast-moving
goods



Use ERP for
expiry tracking
& alerts



Better inventory management
leads to lower costs, higher
availability & better profits.

AT A GLANCE



2,997

TOTAL PRODUCTS
ANALYZED



891

DEADSTOCK PRODUCTS
~₹49.8 LAKHS
BLOCKED



2,457

OVERSTOCK PRODUCTS
>3 MONTHS HOLDING



UNDERSTOCK RISK
POSSIBLE
SALES LOSS



OPTIMIZATION
KEY TO REDUCE COST,
AVOID LOSS & IMPROVE
EFFICIENCY



Right stock • Right quantity • Right time → Higher efficiency • Lower cost • Better profitability



Observations regarding Data Errors

Accounting problems

DATE	BILL NO.	PARTY NAME	SELLING PRICE	COST PRICE	G.PROFIT	%
08-04-2025	A000099	DHANAVANTRI MEDI K G	₹ 897.60	₹ 897.60	₹ -	0
17-04-2025	A000234	DR.AFZAL PASHA. KOL	₹ 4,348.00	₹ 20,490.56	₹ -16,142.56	-78.78
17-04-2025	A000236	DR.AMRUTH (VET VEM	₹ 12,926.00	₹ 42,090.43	₹ -29,164.43	-69.29
17-04-2025	A000235	DR.AMBARISH.VET TEK	₹ 15,570.70	₹ 31,755.81	₹ -16,185.11	-50.97
21-04-2025	A000301	DR.AMRUTH (VET VEM	₹ 13,438.00	₹ 78,912.99	₹ -65,474.99	-82.97
21-04-2025	A000299	DR.ASHWINI(VET CHI	₹ 9,273.80	₹ 24,600.18	₹ -15,326.38	-62.3
21-04-2025	A000289	DR.AFZAL PASHA. KOL	₹ 17,356.80	₹ 29,419.46	₹ -12,062.66	-41
21-04-2025	A000297	DR.ANIL KUMAR. V KOL	₹ 18,368.64	₹ 27,878.22	₹ -9,509.58	-34.11
21-04-2025	A000298	DR.APPAJI GOWDA DOD	₹ 15,824.00	₹ 17,458.67	₹ -1,634.67	-9.36
21-04-2025	A000293	DR.ANAND REDDY CHI	₹ 18,616.48	₹ 18,893.87	₹ -277.39	-1.47

Price list

ITEM	PURCHASE PRICE	SALES PRICE	M.R.P.	margin
LUPIDINE OINT 125GM 125GM	213.57	80.00	210.94	-62.54%
METRO IV(PD) 100ML	35.00	11.00	13.13	-68.57%
FENZONEX BOLUS 1.5GM 1.5G	47.50	13.25	19.45	-72.11%
CIFPRO E/D 10ML	12.55	2.22	16.48	-82.31%
DISPOVAN NEEDLE 20G 10'S	68.00	8.16	18.75	-88.00%
PAA MOR & ARG SHAMPOO 200ML	203.39	7.60	10	-96.26%
VOMMATE 30ML	105.00	3.30	196.88	-96.86%
SOLONE 5MG TAB 10*S	419.75	5.30	7.8	-98.74%

ACCOUNTING ISSUES

Key Issues Identified • Risks Involved • Actionable Focus

PRICING ERRORS



419
PRICING ERRORS

Difference between selling price and price list identified.



Review & correct pricing to ensure accurate billing and profit calculation.

NEGATIVE-PROFIT BILLS



619
NEGATIVE-PROFIT BILLS

Bills where cost is higher than selling price, resulting in loss.



Analyze reasons and strengthen process to avoid future losses.

POSSIBLE GST COMPLIANCE RISK



COMPLIANCE RISK IDENTIFIED

Inconsistencies in billing may lead to GST compliance issues.



Review billing accuracy, GST calculations and documentation.

POTENTIAL IMPACT



FINANCIAL LOSS

Pricing errors and negative-profit bills directly reduce profitability.



COMPLIANCE PENALTIES

GST discrepancies may result in notices, penalties and legal issues.



POOR DECISION MAKING

Inaccurate data leads to wrong business decisions and impacts overall performance.



Timely action on these issues will improve accuracy, ensure compliance and protect profits.

KEY RECOMMENDATIONS



Implement price validation checks before billing.



Monitor profit margins regularly and review loss-making transactions.



Ensure GST rates, tax calculation and invoicing are accurate.



Strengthen ERP controls and periodic auditing for accuracy.



Accurate accounting today ensures compliant operations and profitable growth tomorrow.



DATA ENTRY & LEGAL RISKS

Errors in Data. Risks in Compliance. Impact on Business.



DATA ENTRY ERRORS



INCORRECT PRICING ENTRIES

(Purchase, Selling, MRP)

PURCHASE PRICE



Cost at which product is purchased



SELLING PRICE



Price at which product is sold



MRP



Maximum Retail Price (List Price)

RECOMMENDATIONS



Enforce Rule in ERP

Purchase < Selling < MRP must be enforced in the ERP system.



Trigger Validation Errors

System should trigger validation errors for incorrect entries.



Accurate data entry ensures correct pricing, better margins, and reliable decision-making.



LEGAL & COMPLIANCE RISK



FAKE BILLING / TAX EVASION PRACTICES DETECTED

Such practices can lead to severe legal action, penalties and reputational damage.



EXAMPLE

Income Tax Department uncovering

₹70,000 Cr

tax evasion scam.

RECOMMENDATIONS



Avoid Illegal Billing Practices

Ensure all transactions are genuine, transparent and properly documented.



Hire Tax Professional for Compliance

Engage a qualified tax professional to ensure full compliance with laws.



Compliance protects the business from legal action, financial penalties and loss of credibility.



Thank You

IMAGES OF ORGANISATION